

Outlook

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Prove the early-warning model cannot see the future

Hi all,

I may be joining dots that do not belong together, so please challenge the premise.

The proposed repayment-stress model combines monthly snapshots, and Model Risk needs proof that every feature existed at the observation date. Failure anecdotes are beginning to drive decisions, although retries and late posting may be making the problem look larger than the affected-customer population.

Could the answer be that performance is stable after strict time-based validation? Or are we actually seeing that status or collections fields leak future outcomes? I also do not want us to miss the possibility that monthly snapshots duplicate later knowledge.

The practical decision is whether the model can enter validation or must return to feature engineering. Please send a model-ready table, data dictionary and an honest baseline; I need the exceptions and counter-examples, not only an average.

Work from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations; collections cases, promises to pay and recovery payments; monthly account snapshots, status events, limits, product enrolments and signatories. Use out-of-time validation and preserve event timestamps; do not random-split repeated observations of the same customer.

Regards